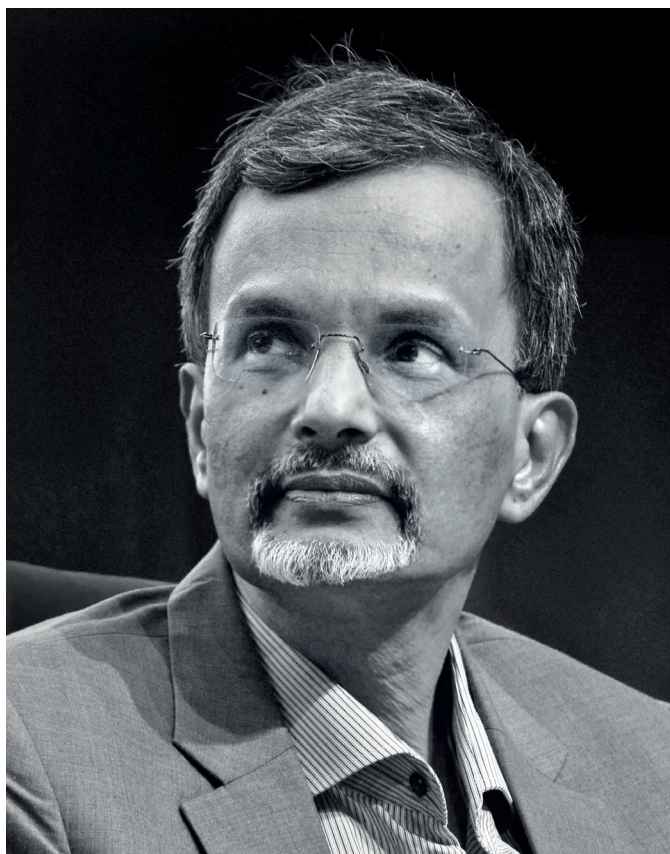
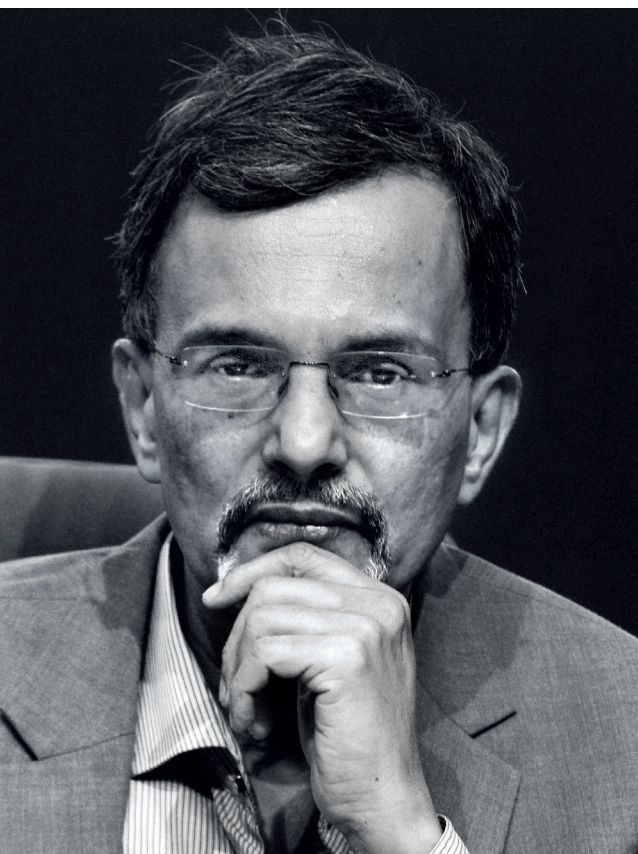




export prospects of developing countries including that of India. But, given that we are going to have a much better growth rate than many other developing countries, we are more concerned about ensuring that inflation doesn't get out of hand.

Thus, the financial markets' concerns with economic growth in the developed world having resulted in a fall in global commodity prices is a welcome development from the Indian standpoint. Therefore, I would argue that in the last few weeks, if anything, the global macroeconomic conditions, including that of commodity prices and interest rates in the US, especially the bond market, have moved in favour of India.

Q: My question then is if the West were to slow down significantly, and you would have noted that there has been a couple of recent instances of bond yield reversion in the US which is often a reliable indicator of recession, how much of an impact do you see on Indian economic growth in the next six to eight quarters?

A: That is sort of a consolidated or net effect of two competing forces; one is the adverse impact on Indian exports because of a recession or—as you put it—near-recessionary conditions there. The other is that if the central banks in the developed world react to the onset of economic recession by halting or slowing interest rate increases, or in some cases even reversing them, then liquidity conditions in reserve currencies become easier.

Capital flows into emerging markets and to countries like India will resume and the tightness in dollar supply will ease globally and therefore, without doing any explicit or formal modelling, I would argue that on balance it will be beneficial to India rather than hurtful.

Q: That's a very interesting assertion. You're basically saying that if we get very tepid growth in the US and the Euro zone over the next four to six quarters, then actually it may work in India's favour because we are not in a bad economic position ourselves.